

Multi-Timeframe Trading Framework

A structured guide from first trades to professional process

A practical training outline for discretionary traders in stocks, futures, forex, and crypto

Beginner foundations

Intermediate execution

Expert process

A structured trading process

1

Directional timeframe

Defines the higher-order bias and the side you prefer to trade.



2

Setup timeframe

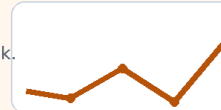
Shows pullback, behavior change, and structural shifts at the location you care about.



3

Entry timeframe

Provides the trigger, stop placement, and tightest executable risk.



Context -> setup -> trigger -> risk -> management -> review

Educational use only. This guide is a training framework, not individualized financial advice. Markets are risky, leverage magnifies risk, and brokerage or regulatory requirements can change. Verify the current rules, costs, margin terms, and product-specific mechanics before trading live.

How to use this guide

Read the framework from the top down at first. The goal is not to memorize terminology; it is to build a repeatable decision tree. Each major section includes a plain-language TL;DR, the core concept, and guidance for beginner, intermediate, and expert traders.

TL;DR Keep your early process narrow: one market, one style, one or two setups, fixed risk, and a weekly review loop. Complexity should be earned by data, not by curiosity.

Three principles that matter more than any pattern

Simplicity before complexity	Process before P&L	Risk before prediction
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Road map

Section	What it answers
1. Executive TL;DR	What should a trader actually do before, during, and after a trade?
2. Development ladder	What changes as you progress from pattern recognition to measured edge?
3. Style and timeframes	Which timeframe does what job, and how should you map your stack?
4. Structure and location	How do you tell trend from pullback, and good location from noise?
5. Entries and risk	How do you enter with a clear invalidation point and sensible size?
6. Management and psychology	How do you avoid turning a valid idea into a sloppy trade?
7. Review and metrics	How do you learn from samples instead of from isolated wins or losses?
8. Advanced layer	How do regime, correlation, liquidity, and portfolio heat affect execution?
9. Training plans and templates	What should a beginner, intermediate, or expert trader practice next?

1. Executive TL;DR

A trade is not an opinion about price. It is a package of context, timing, risk, and behavior.

TL;DR Your edge does not come from a pattern by itself. It comes from the pattern appearing in the right context, at a meaningful location, with a trigger you can define, a stop you can respect, and a review loop that keeps your process honest.

The seven-step decision tree

1. Choose a market, a style, and a fixed stack of timeframes.
2. Use the highest timeframe in your stack to determine directional context: trend, range, or transition.
3. Mark the meaningful location: prior swing, breakout/retest area, range edge, session level, or other place where the trade idea can be clearly invalidated.
4. Wait for the setup timeframe to show evidence that your idea is beginning to work: reclaim, rejection, break of a defended swing, or loss of momentum by the opposing side.
5. Use the entry timeframe only for timing the trigger, stop placement, and execution quality.
6. Size the trade from the stop distance and your pre-defined risk, not from confidence or excitement.
7. Manage the position with written rules, then journal the trade in R, screenshots, and notes about adherence.

Beginner	Trade one market, one session, and one setup for at least 20 reviewed trades. Keep risk very small and focus on rule-following, not profit.
Intermediate	Trade one or two proven setups, start tagging regime and time of day, and track performance in R so you can separate good process from random outcomes.
Expert	Allocate risk across playbooks, adapt execution to regime and liquidity, and refine only what data shows is worth refining.

2. Trader development ladder

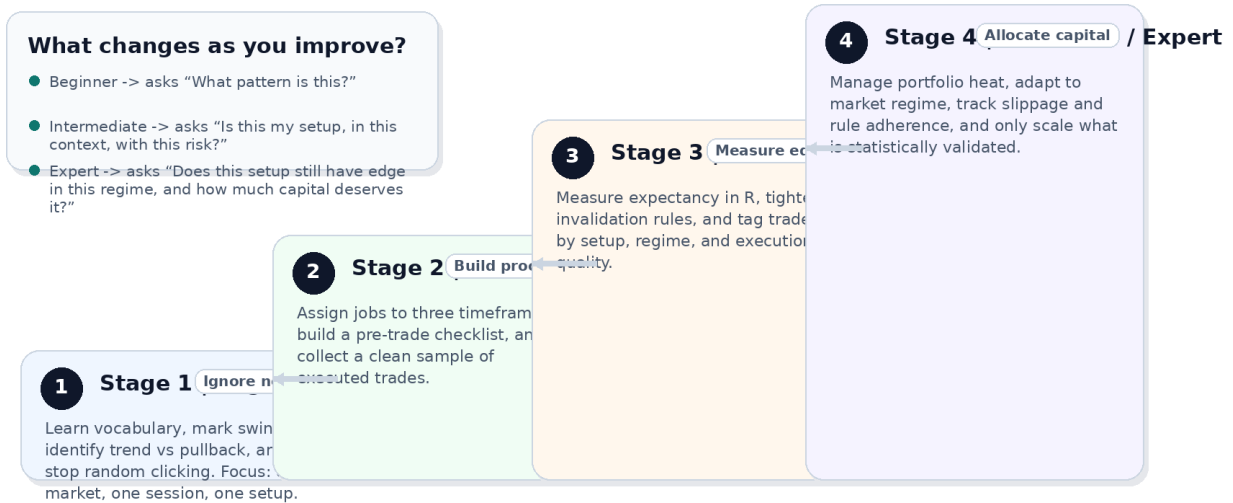
TL;DR Most traders try to optimize before they can execute. Real progression usually moves from pattern recognition, to process discipline, to measurable edge, to selective optimization.

A beginner often thinks the missing ingredient is a better setup. More often the missing ingredient is consistency: seeing the same thing, acting the same way, sizing the same way, and reviewing the same way. Only after that does it make sense to ask whether a rule deserves to be changed.

An intermediate trader starts to separate two different questions: **“Was the trade profitable?”** and **“Was the trade well executed?”** An expert spends most of the time optimizing the second question, because the first one is noisy in small samples.

Trader development ladder

Progression is usually less about finding a secret indicator and more about moving from pattern recognition to repeatable execution, then from repeatable execution to quantified edge management.



Progression is less about finding more patterns and more about becoming more selective, more measured, and more consistent.

Beginner	Your mission is to recognize repeatable situations and stop improvising. One trade idea executed cleanly is better than ten loosely related ideas.
Intermediate	Your mission is to convert observations into process: checklists, screenshots, samples, and hard data about what works, when, and why.
Expert	Your mission is to optimize allocation and execution without style drift. Experts usually improve by filtering and sizing, not by constantly inventing new patterns.

3. Choose your style and map your timeframes

TL;DR Every timeframe needs a job. The higher timeframe defines context, the middle timeframe defines setup quality, and the lower timeframe defines timing, stop placement, and execution risk.

The correct timeframe stack depends on holding period, instrument behavior, and lifestyle. What matters most is consistency. If you keep changing your stack, you also keep changing the meaning of the signals you are reading.

Typical style map

Style	Typical hold	Example stack	Primary job
Position	Weeks to months	Monthly / Weekly / Daily	Macro trend and major swings
Swing	Days to weeks	Weekly / Daily / 4H	Capture one leg of a larger move
Day	Minutes to hours	4H or 1H / 15m / 5m	Trade within one session with clear intraday context
Scalp	Seconds to minutes	1H or 15m / 5m / 1m	Exploit short bursts; requires the highest execution skill

A good default stack

- Swing trader: Weekly for bias, Daily for structure and location, 4H or 1H for entry timing.
- Day trader: 1H or 4H for session context, 15m for setup quality, 5m or 1m for trigger.
- Scalp trader: only appropriate after you already execute cleanly on slower charts.

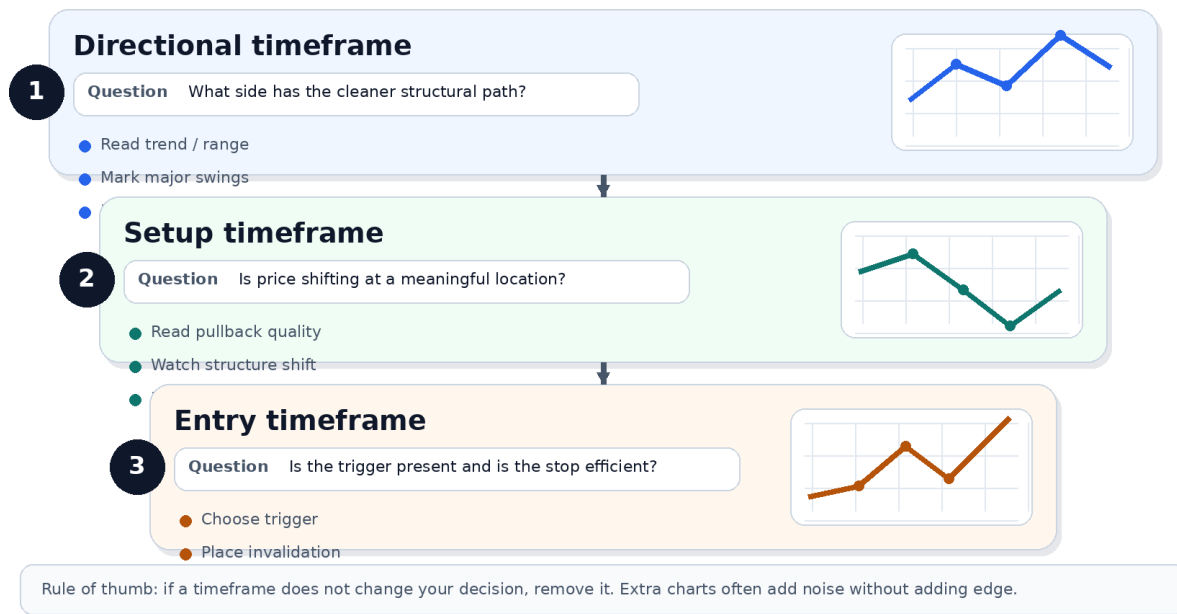
Beginner	Pick one stack and keep it fixed while learning. For example: 1H / 15m / 5m for day trading or Weekly / Daily / 4H for swing trading.
Intermediate	Adjust the stack only when the instrument or session genuinely demands it, then document the reason so your review remains apples-to-apples.
Expert	Use multiple stacks only if each playbook is explicitly defined and performance is tracked separately by market, session, and regime.

4. The three-timeframe stack

TL;DR Do not ask one chart to answer every question. Use the directional timeframe for bias, the setup timeframe for evidence, and the entry timeframe for timing.

The three-timeframe stack

Each timeframe should have a job. The higher timeframe tells you what side is favored, the middle timeframe tells you whether the setup is actually forming, and the lower timeframe tells you whether risk is acceptable right now.



Each timeframe answers a different question. Confusion usually starts when traders expect the entry chart to explain the whole market.

What each timeframe should answer

Layer	Key question
Directional timeframe	What side has structural control? Is the market trending, ranging, or transitioning?
Setup timeframe	Is price reacting at a meaningful location and showing a real shift in behavior?

Entry timeframe	Is the trigger present, is the stop efficient, and is the reward-to-risk still acceptable?
Beginner	Use the highest chart only for direction and major structure. Keep the entry chart zoomed in for timing, not for changing your overall bias every few bars.
Intermediate	Require the setup timeframe to prove something before you enter. A pullback at a good level is not enough unless behavior starts to change.
Expert	Think of the stack as a hierarchy of evidence. Experts will sometimes fade the higher timeframe, but only with a clear reason, a separate playbook, and tighter risk.

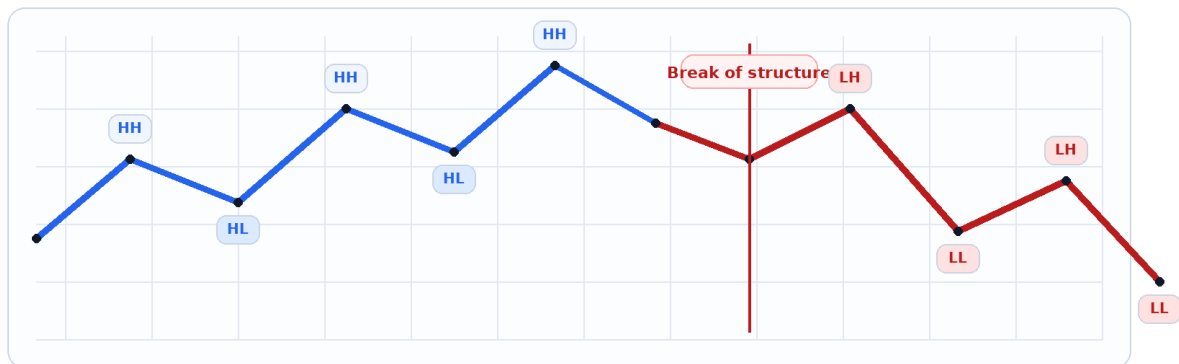
5. Market structure and directional bias

TL;DR An uptrend remains intact while price keeps printing higher highs and higher lows. A downtrend remains intact while price keeps printing lower highs and lower lows. Most poor entries happen when traders confuse a pullback with a full reversal.

Structure is a language. A series of higher highs and higher lows suggests demand is still in control. A series of lower highs and lower lows suggests supply is still in control. The change from one condition to the other matters most when a recently defended swing is broken and the retest fails or changes character.

Market structure map

An uptrend remains intact while price keeps printing higher highs and higher lows. A downtrend remains intact while price keeps printing lower highs and lower lows. The transition matters most at the point where the latest defended swing fails.



Pullback vs reversal

A pullback stays inside the higher-timeframe idea. A reversal changes the actual sequence of defended swings and usually confirms after a break, failure, and retest.

What to mark first

- Most recent defended swing
- Latest impulse high or low
- Whether the retest held or failed

The most useful transition is not a random wiggle. It is the failure of the last defended swing, followed by a retest that no longer behaves the same way.

Practical structure rules

- A pullback is movement against the higher-timeframe idea; a reversal is a real break in that idea.
- Mark the last swing that should hold if your thesis is still valid.
- Treat the middle of a range as noise unless you have a specific mean-reversion plan.
- Ask whether price is accepting above or below important structure, not just briefly touching it.

Beginner	Learn to label the obvious swings first. If you cannot explain where the trend would be invalidated, you do not yet have a clear trade thesis.
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Intermediate	Add nuance: distinguish shallow pullbacks from deep pullbacks, and note whether the market is compressing, expanding, or failing to continue.
Expert	Focus on the quality of the transition. Experts care about which swing mattered, how the retest behaved, and whether the move occurred in a regime where follow-through is likely.

6. Location and confluence

TL;DR The best trade ideas usually begin at places where the market has to prove something: prior swing highs/lows, breakout retests, range edges, session reference levels, or other locations where invalidation is clear.

Location is what separates a chart pattern from a trading idea. A pattern in the middle of nowhere offers poor context and vague risk. A pattern at a meaningful level offers a story: if price accepts through this level, the idea is wrong; if price rejects and reclaims, the idea may be working.

Good location vs poor location

Good location	Poor location
At a prior defended swing or breakout/retest area	In the middle of a range with no clear invalidation
Where multiple factors describe the same story	Where many unrelated indicators are stacked as decoration
Where the stop can be placed logically	Where the stop is arbitrary or emotionally chosen
Where the setup timeframe can show a clear shift	Where the trader is forced to anticipate without proof

A note on confluence

Confluence is useful only when multiple factors point to the same underlying narrative. Three indicators that all measure similar momentum are not three independent reasons. Better confluence is structural: a higher-timeframe level, a range edge, and a setup-timeframe shift all telling the same story.

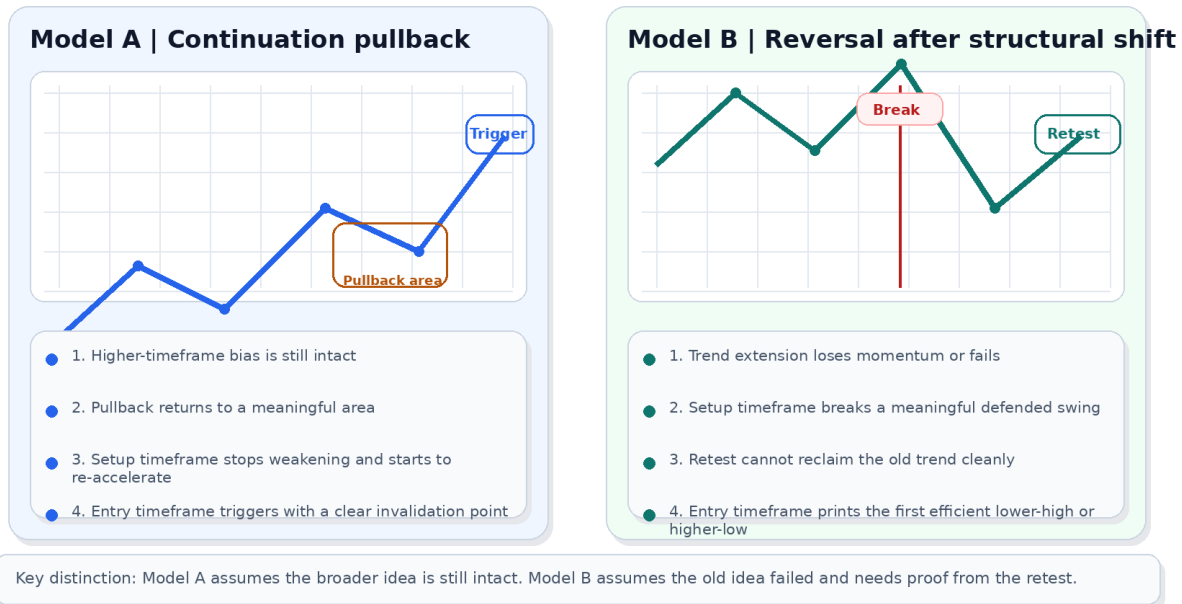
Beginner	Trade only at obvious levels. Ignore trades that look attractive but occur in messy, low-information parts of the chart.
Intermediate	Grade the quality of location in your journal. Over time, you will often find that mediocre location is the hidden reason good-looking setups fail.
Expert	Use confluence to narrow trade selection, not to justify size creep. Experts know that the cleanest location is often more valuable than the fanciest trigger.

7. Two repeatable entry models

TL;DR Most discretionary entries fit one of two families: a continuation pullback in an intact trend, or a reversal after the old structure clearly fails.

Two repeatable entry models

The first model joins a trend after a controlled pullback. The second model acts after the old trend has actually failed and price retests from the other side. Both require location, confirmation, and pre-defined risk.



Model A assumes the broader idea is intact and uses a pullback as an efficient entry. Model B assumes the old idea has already failed and uses the retest after a structural shift.

Model A: Continuation pullback

- Use when the directional timeframe still points clearly in one direction.
- Wait for a pullback into a meaningful area rather than chasing extension.
- Require the setup timeframe to stabilize or reclaim, then trigger on the entry chart.
- Place the stop where the continuation idea is invalidated, not at a random number of ticks or cents.

Model B: Reversal after structural shift

- Use when the prior structure has broken in a meaningful way.
- The retest matters: you want proof that the old side can no longer reclaim control.
- Because reversal trades often fight the larger trend, many traders size them smaller until the new structure matures.

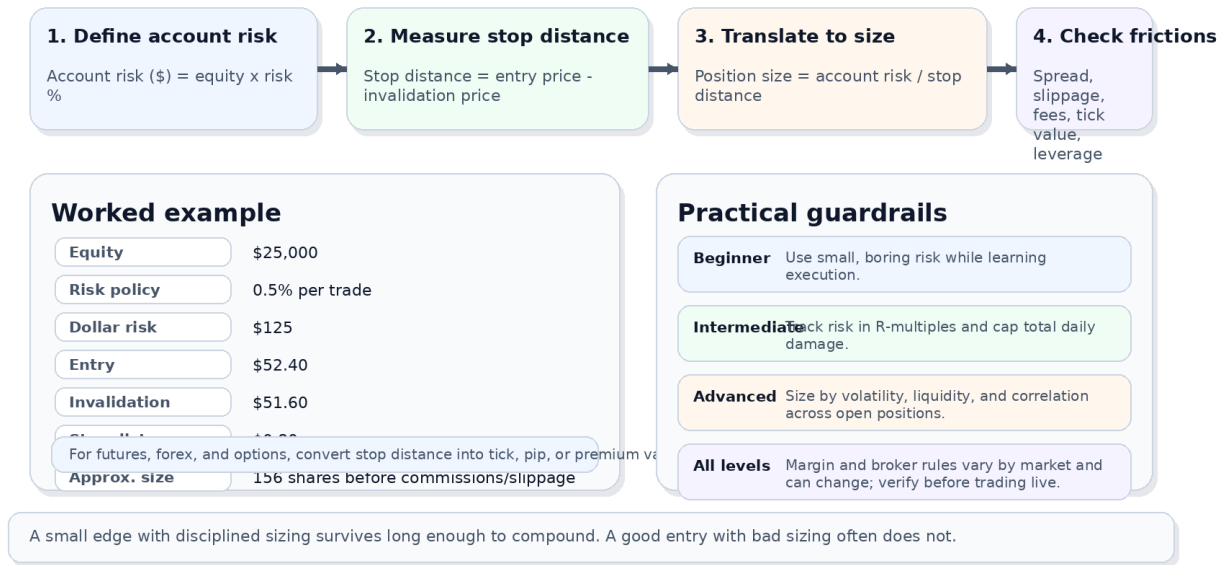
Beginner	Master Model A first. It is simpler because it works with the broader direction and usually offers clearer invalidation.
Intermediate	Add Model B only after you can identify real structure failure rather than short-term noise. Reversal entries demand more patience and more selectivity.
Expert	Experts refine entry quality by context: which pullbacks deserve continuation entries, which reversals are only tactical countertrend trades, and which transitions have enough fuel to become new trends.

8. Risk and position sizing

TL;DR Great entries can still lose. Survival comes from small, consistent risk and from sizing the trade according to the stop distance, not according to conviction.

Risk and position sizing

Great entries cannot save oversized trades. A position should be built from the amount you are willing to lose if the idea is invalidated, not from how strongly you feel about the setup.



The common thread is simple: define what makes the trade wrong, measure that distance, and translate it into a size that fits your risk policy.

Core formulas

Measure	Formula or idea
Account risk	Account equity × risk %
Stop distance	Entry price – invalidation price (or the market's equivalent)
Position size	Account risk ÷ stop distance
Expectancy in R	(Win rate × avg win) – (loss rate × avg loss) – friction
Guardrail. Do not move the stop farther away just to reduce the emotional pain of being wrong. If the trade needs a wider stop, size smaller. If the size becomes too small to matter, the trade may not be worth taking.	
Beginner	Use tiny size and think in fixed risk units. The job is not to make the account move quickly; the job is to learn how to respect invalidation.
Intermediate	Track results in R rather than only in dollars. R normalizes trades of different prices and makes review much more honest.
Expert	Manage total portfolio heat, expected slippage, and correlated exposure. Experts treat risk as inventory to allocate, not as a vague feeling.

9. Trade management and exits

TL;DR The trade should be managed according to the original premise. If the premise is intact, do not sabotage it because the open profit retraces. If the premise is broken, do not negotiate with the market.

Management rules should be written before entry. Common models include taking the entire position off at a fixed target, scaling out at predefined areas while leaving a runner, or trailing behind structure. None is universally best; the right choice depends on the setup and on your empirical results.

Common management models

Management model	Best use	Main weakness
All-out at target	Simple, easy to review, good for new traders	Can leave large trends on the table
Scale-out + runner	Balances realized gains with upside participation	Can reduce average win if executed too early
Trail behind structure	Best for trend capture	Requires patience and clean structure reading
Time stop	Useful for intraday trades that fail to move	Can exit a trade before it finally expands

Non-negotiable exit situations

- The thesis is invalidated: price accepts through the level that should have held.
- The trade is still alive but no longer makes sense given time, session, news, or liquidity constraints.
- You have reached a pre-defined daily loss limit and should stop trading.

Beginner	Use one management model only until you have a sample. Frequent changes make it impossible to know whether the trade idea or the management caused the result.
Intermediate	Compare management models using samples tagged by setup and regime. The point is to discover which model fits each playbook, not to chase whichever one looked best last week.
Expert	Experts manage around event risk, slippage, and liquidity. They often accept that the cleanest exit is the one that best preserves long-run expectancy, not the one that feels best on a single trade.

10. Psychology and process discipline

TL;DR Psychology improves when process improves. Many emotional problems are actually structural problems: unclear rules, oversizing, too many markets, too much screen time, or no review loop.

Fear, greed, FOMO, and revenge are real, but they usually become destructive only after a process failure. A trader who risks too much, trades too often, and has no written criteria will experience far more emotional volatility than a trader with a narrow, pre-committed plan.

Behavioral rules that save traders

- No trade without a written thesis, invalidation point, and management plan.
- No size increase after a losing streak until process metrics recover.
- No impulsive revenge trade after a stop-out.
- No new setup traded live until it has been documented and reviewed.
- No ignoring daily max-loss or max-trade-count limits.

Important distinction. Discomfort is not invalidation. The market can move against your position while your thesis remains fine. The purpose of structure-based stops is to tell the difference.

Beginner	Reduce emotional load by reducing inputs: one market, a short watchlist, tiny risk, and a pre-trade checklist you actually follow.
Intermediate	Track behavioral errors separately from market errors. You want to know whether a losing day came from a bad

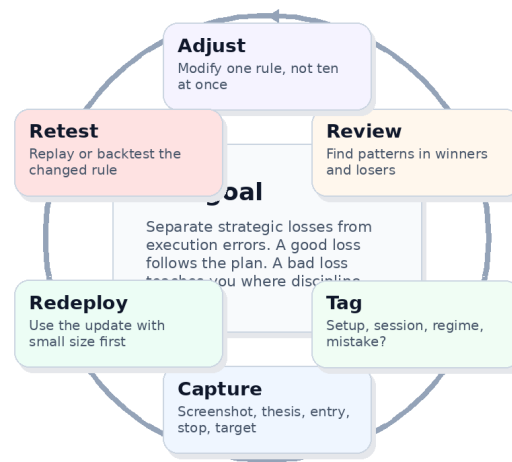
	read or from breaking your own rules.
Expert	Use pre-commitment and environment design: alerts, session plans, order templates, maximum heat limits, and explicit no-trade conditions. Expert discipline is usually quiet and procedural.

11. Journaling, review, and deliberate practice

TL;DR A journal is not a diary of feelings. It is a research tool. Capture the trade, tag it, review the sample, change one variable, retest, and only then redeploy.

Journal and review loop

Improvement comes from a loop: capture the trade, tag the context, review the sample, change one rule at a time, retest, and only then redeploy.



Improvement is cyclical. Capture the trade, tag the context, review the sample, change one rule at a time, retest, and only then redeploy.

Minimum journal fields

- Date, market, session, and timeframe stack
- Setup tag and regime tag
- Entry, stop, target, size, and result in R
- Screenshots before, during, and after the trade
- Was the plan followed? If not, what rule was broken?

Beginner	Take screenshots of every trade and write one sentence for the thesis and one sentence for the lesson. Simplicity beats elaborate spreadsheets you never maintain.
Intermediate	Tag trades by setup, regime, and time of day. Look for recurring mistakes such as late entries, poor location, or forcing trades during chop.
Expert	Run review in samples. Experts change one variable at a time, isolate execution errors from playbook errors, and keep a separate log of experiments.

12. Metrics and diagnostics

TL;DR Win rate is not the whole story. The real question is whether the average winner pays for the average

loser after costs, slippage, and your own execution mistakes.

Expectancy and the metrics that matter

Win rate matters, but it is not the whole story. The real question is whether the average winner pays for the average loser after costs, slippage, and execution mistakes are accounted for.

Core formula

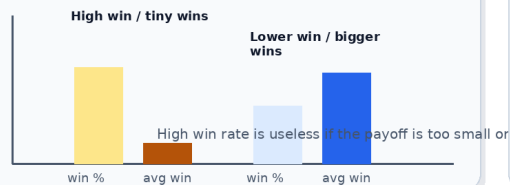
$$\text{Expectancy} = (\text{win rate} \times \text{avg win}) - (\text{loss rate} \times \text{avg loss})$$

Think in R-multiples so every trade is comparable across sizes and timeframes.

Example in R

- Win rate = 42%
- Average win = +2.2R
- Loss rate = 58%
- Average loss = -1.0R
- Expectancy = $(0.42 \times 2.2) - (0.58 \times 1.0) = +0.344R$

Why win rate can mislead



Track at least these metrics

Expectancy (R)	Is the edge positive?
Average win / loss	Do winners meaningfully exceed losers?
MAE / MFE	Are exits too early or too loose?
Rule adherence	Are losses strategic or self-inflicted?
Time of day / setup tag	Where is the edge concentrated?

Expectancy is the clearest scorecard because it combines frequency, payoff, and friction into one framework.

Track at least these metrics

Metric	Why it matters
Expectancy (R)	Does the strategy make enough per trade after losses and friction?
Average win / average loss	Are winners meaningfully larger than losers?
MAE / MFE	How much adverse or favorable movement usually occurs before exit?
Rule adherence	Are results being distorted by execution errors?
Time of day / setup tag / regime	Where is the edge actually concentrated?

Interpretation examples

- High win rate but poor expectancy usually means winners are cut too quickly or losers are too large after costs.
- Low win rate with positive expectancy can still be healthy if the average winner is large and losses are controlled.
- Good backtest, weak live results often points to execution, slippage, or behavior rather than to the setup itself.

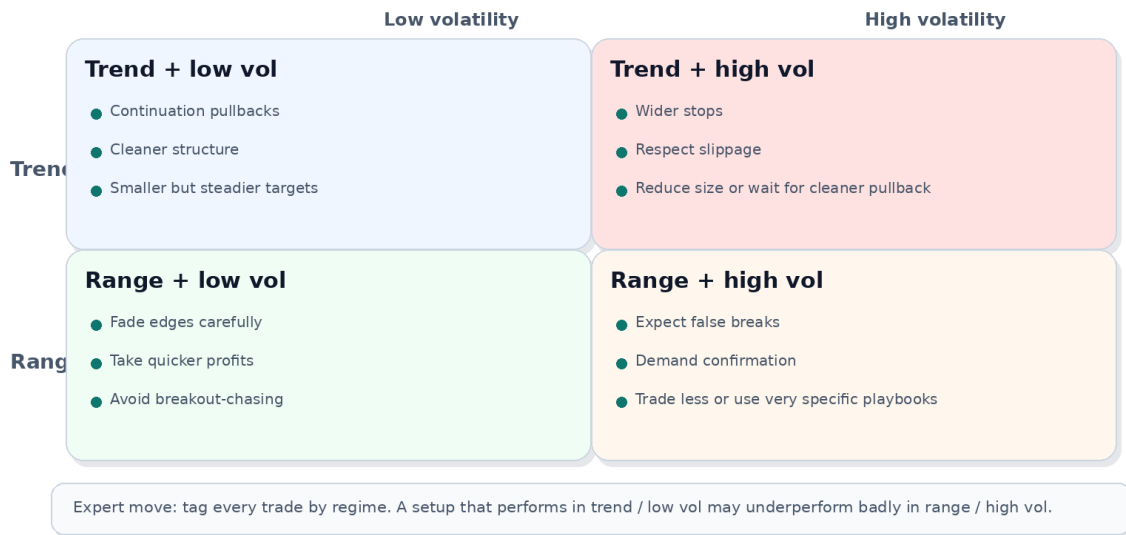
Beginner	Focus first on adherence and basic expectancy. Fancy metrics will not save a process that is not yet stable.
Intermediate	Build dashboards by setup and regime. The goal is to understand where the edge concentrates, not just your overall average.
Expert	Experts monitor drift: when slippage, trade quality, or market regime starts changing enough that the playbook needs re-validation.

13. Advanced layer: regime, correlation, and execution quality

TL;DR A setup is never independent of its environment. Trend vs range, low vs high volatility, correlated markets, and liquidity conditions all change how aggressively you should participate.

Regime map

Advanced traders stop asking only whether a pattern exists. They ask whether that pattern still behaves well in the current regime: trending or ranging, calm or volatile.



The same setup can behave very differently across regimes. Advanced traders adapt expectations, management, and size to the environment.

What advanced traders monitor

- Regime: trend, range, transition, low volatility, high volatility, expansion, compression
- Correlation: multiple positions may be different tickers but the same underlying bet
- Execution quality: spread, slippage, order type, liquidity, and session timing
- Event risk: earnings, macro releases, contract rolls, exchange-specific liquidity shifts
- Portfolio heat: total open risk across all positions, not just the risk of each trade in isolation

Beginner	Treat advanced variables as filters, not as new reasons to take more trades. Learn them, but keep your live process simple.
Intermediate	Start tagging regime and measuring whether the same setup performs differently in trend and range conditions or in calm versus fast markets.
Expert	Experts allocate risk dynamically based on playbook quality, regime fit, liquidity, and correlated exposure. Their edge is often as much about selecting the right environment as selecting the right pattern.

14. Beginner playbook

TL;DR Your only real job at the beginning is to build a stable decision process. The fastest way to improve is to reduce degrees of freedom.

A beginner improves fastest by trading less, not more. One market. One timeframe stack. One or two setups. Tiny risk. Screenshots. Weekly review. That is enough to build the language of structure, location, entry, and invalidation.

Beginner operating rules

- Choose one market and one session to specialize in.
- Use one fixed stack of timeframes.
- Trade only one core setup, preferably continuation pullbacks in clear structure.
- Risk a small, consistent amount that does not tempt you to move stops.
- Review every 20 trades before making any change.

Beginner milestones

Milestone	What success looks like
20 reviewed trades	You can explain the thesis, stop, and mistake on each trade
50 reviewed trades	You know the common failure modes of your setup
100 reviewed trades	You have enough data to judge whether the setup and the management rules deserve refinement

Avoid this trap. Do not graduate yourself from beginner mode just because you can name more patterns. Graduate only when your execution is repeatable and your review shows that the process is stable.

15. Intermediate playbook

TL;DR Intermediate traders move from seeing setups to measuring them. The emphasis shifts from “Can I spot it?” to “Under what conditions does it actually perform?”

By the intermediate stage, you should already have a core process. The next step is to build a small playbook inventory, learn which environments help or hurt each playbook, and upgrade your review from anecdotal comments to structured metrics.

Intermediate operating rules

- Limit yourself to two or three clearly documented playbooks.
- Tag every trade by setup, regime, time of day, and management model.
- Track results in R and separate execution mistakes from strategy outcomes.
- Review trades in batches large enough to avoid overreacting to noise.
- Develop explicit no-trade conditions for chop, poor liquidity, and emotionally compromised sessions.

What to add at this stage

- A written pre-market routine and post-market review routine
- A playbook card for each setup: context, location, trigger, stop, target, and common failure modes
- One or two management variants tested separately rather than mixed randomly

Beginner	Still relevant: keep the process narrow and consistent.
Intermediate	Primary focus: measure expectancy by playbook and regime, and reduce the mismatch between what you say you trade and what you actually trade.
Expert	Bridge to expert level: learn to scale research carefully. The best intermediate traders become boringly consistent before they become sophisticated.

16. Expert playbook

TL;DR Experts are not simply better at predicting. They are better at selection, allocation, execution, and adaptation without losing the core identity of their process.

At the expert stage, the trade idea itself is only one layer. The larger challenge is managing a portfolio of playbooks: deciding what deserves risk today, how much heat is already deployed, whether the environment is favorable, and whether the next optimization is supported by robust evidence.

What experts optimize

Area	Expert question
Selection	Which markets, sessions, and playbooks deserve attention right now?
Allocation	How much total heat should be deployed and where should it be concentrated?
Execution	Which order type, timing, and venue behavior reduce friction?
Adaptation	Is the market regime changing enough to justify reduced size or re-validation?

Expert guardrails

- No style drift: optimization should not turn your process into a different process.
- No size increase without evidence that the edge is stable and that execution quality supports the scale.
- No overfitting: do not let a tiny recent sample rewrite a robust playbook.
- No ignoring correlation: five different positions can still be one crowded trade.

A useful standard. Expert decision-making looks more selective than exciting. The edge often comes from taking fewer trades, passing on mediocre environments, and allocating size only where the evidence is strongest.

17. A 30/60/90-day training plan

TL;DR Training should move from language and observation, to clean execution, to validated measurement. Do not rush the sequence.

Suggested progression

Window	Primary goal	What to practice
Days 1–30	Build market language	Choose one market and one stack. Learn structure, location, and invalidation. Screenshot and annotate every trade idea, whether or not you take it.
Days 31–60	Build execution discipline	Trade one core setup only. Use fixed risk, a checklist, and a hard stop policy. Begin weekly review in 20-trade samples.
Days 61–90	Build measurement	Track results in R, tag trades by setup and regime, compare management rules, and decide whether the process deserves small live deployment or further simulation.

Weekly cadence

- Monday: review the prior sample and define what you will and will not trade this week.
- During the week: execute the plan, capture screenshots, and note rule breaks in real time.
- Weekend: review the sample, update one lesson, and resist changing more than one variable at once.

Beginner	Spend most of the 90 days learning how not to make impulsive decisions.
Intermediate	Use the middle month to build confidence in execution rather than to hunt for more patterns.
Expert	Use the final month to judge readiness by data: adherence, expectancy, and emotional stability under real execution.

18. Templates you can reuse

TL;DR The best template is the one you will actually use. Keep it short enough to survive real trading days.

Pre-trade checklist

Prompt	Write before entry
Context	What is the directional bias and what structure supports it?
Location	Why is this level meaningful?
Setup evidence	What changed on the setup timeframe?
Trigger	Exactly what will confirm entry?
Invalidation	Where is the idea wrong?
Risk	What is the position size given the stop distance?
Management	How will I exit if right, wrong, or stuck?

Post-trade review

Question	Answer field
Was the thesis correct?	Yes / No / Partly
Was the execution correct?	Yes / No — if no, what was broken?
What was the result in R?	Record the normalized outcome
What did the screenshots reveal?	Timing, patience, management, or location issue?
What is the one lesson?	Keep it concrete and repeatable

19. Playbook card, glossary, and reference shelf

TL;DR A playbook card turns a vague setup into a tradable one. A glossary keeps your language consistent. A reference shelf keeps your learning grounded.

Mini playbook card

Field	What to define
Playbook name	Give the setup a precise label.

Best environment	Trend, range, volatility, session, and market type.
Location	Where should it appear?
Trigger	What confirms entry?
Invalidation	What proves the idea is wrong?
Management	Scale-out, fixed target, trailing, or time stop.
Common traps	List the mistakes that usually ruin it.

Plain-English glossary

Term	Definition
Directional timeframe	The chart used to determine the broader bias or environment.
Setup timeframe	The chart used to judge whether the idea is actually developing.
Entry timeframe	The chart used to trigger the position and place the stop efficiently.
Invalidation	The price behavior that proves the trade thesis is wrong.
R	A standardized unit of risk: one loss at your initial stop equals -1R.
Expectancy	The average amount a strategy is expected to make or lose per trade after accounting for losers and costs.

Selected books and public resources

- Mark Douglas — Trading in the Zone
- Brett Steenbarger — The Daily Trading Coach
- Mike Bellafiore — One Good Trade; The PlayBook
- Van K. Tharp — Trade Your Way to Financial Freedom
- [FINRA — Day Trading and the day-trading risk disclosure statement](#)
- [SEC / Investor.gov — Margin accounts and day-trading margin basics](#)
- [Investor.gov glossary — Day trade and pattern day trader](#)
- [CFTC — Retail forex risk and fraud advisories](#)

Final note: as you improve, reduce the urge to predict and increase the quality of your process. The strongest framework is one you can execute the same way on your best day and your worst day.